Reg.No: ……
Name: ……

MAHATMA GANDHI UNIVERSITY, KOTTAYAM
MGU-B.VOC(HONOURS)REGULAR EXAMINATION
SECOND SEMESTER
Minor Pathway Courses (MPC)-MG2MPCBLM100-BUSINESS REGULATORY FRAME WORK
(2025 Admission Onwards)

Duration:2 hours **Maximum Marks:70**

Remember(R), Understand(U), Apply(A), Analyze (An), Evaluate (E), Create(C), Skills(S), Interest(I), and Appreciation (Ap)

PART A
MCQ

Answer any 10 Questions.
Each question carries 1 mark

1. Mercantile law primarily governs: (U)/(CO1)
   A. Personal family relationships B. Criminal offences
   C. Business and commercial transactions D. International politics
2. The main objective of the Indian Contract Act, 1872 is to: (U)/(CO1)
   A. Regulate criminal conduct
   B. Define and govern agreements enforceable by law
   C. Control constitutional amendments
   D. Regulate marriage laws
3. An agreement without consideration is: (R)/(CO1)
   A. Always valid B. Void
   C. Illegal D. Voidable
4. In case of death of the promisor, the contract can be performed by legal representatives when the contract is: (U)/(CO2)
   A. Personal in nature B. Based on personal skill
   C. Not personal in nature D. Void
5. If a debtor owes several debts to a creditor and makes payment without specifying the debt, the creditor may: (U)/(CO2)
   A. Refuse payment B. Appropriate it at his discretion
   C. Return the money D. File a suit immediately
6. Which statement best describes "void for illegality"? (U)/(CO3)
   A.A contract becomes illegal only if a court later deems it illegal
   B.A contract that requires performance illegal at the time of formation is void
   C.A contract remains valid even if it becomes illegal later
   D.Illegality only affects damages, not enforceability

7. Quasi contracts arise to prevent: (U)/(CO2)

A. Breach of contract B. Unjust enrichment

C. Fraud D. Misrepresentation

8. What is the primary purpose of remedies for breach of contract? (U)/(CO2)

A. To punish the breaching party B. To compensate the non-breaching party

C.To terminate the contract D. To create a new contract

9. Bailment is defined under which section of the Indian Contract Act, 1872? (R)/(CO3)

A. Section 72 B. Section 148 C. Section 124 D. Section 73

10. A finder of lost goods has the right to: (U)/(CO3)

A. Sue the owner for reward if no reward was promised

B. Sell the goods immediately

C. Retain the goods until lawful charges are paid

D. Become the owner automatically

11. What is the term for the right of a seller to retain possession of the goods until payment is made?

A) Lien B) Warranty C) Estoppel D) Indemnity (U)/(CO5)

12. An example of an implied warranty under the Sale of Goods Act, 1930, is:

A. The buyer's ability to pay.

B. The seller's right to sell the goods. (An)/(CO5)

C. The quality of the goods being up to the buyer's standards.

D.The seller's promise to deliver on time.

(10X1=10)

PART B
SHORT ANSWER

Answer any 9 Questions.

Each question carries 5 marks

13. Define undue influence. When is a contract said to be induced by undue influence? (U)/(CO2)

14. Distinguish between contract and quasi-contract. (U)/(CO2)

15. What is meant by performance of a contract? Explain under the Indian Contract Act,1872.(U/CO2)

16. Discuss the rights of a bailee. (An)/(CO3)

17. Can a finder sue for reward? Explain. (An)/(CO3)

18. Explain the essential elements of agency. (An)/(CO4)

19. Explain agency by necessity with examples. (An)/(CO3)

20. When can a condition be treated as a warranty? (An)/(CO5)

21. Discuss the effect of pretended bidding in auction sales. (An)/(CO5)

22. A agrees to deliver 500 bags of rice to B on 1st March. A delivers the goods on 20th March without any valid reason. What type of breach is this? What remedy is available to B? (A)/(CO2)

23. Kiran finds a bag containing ₹50,000 and deposits it in his bank account for personal use. Later the owner traces him. Is Kiran liable? Why? (A)/(CO3)

24. Explain the various modes of termination of agency. (An)/(CO4)

25. When is a sale by auction complete? Explain (U)/(CO5)

(9X5=45)

PART C
SHORT ANSWER

Answer any 1 Question.
Question carries 15 marks

26. "All agreements are contracts, but all contracts are not agreements." Discuss this statement in light of the essentials of a valid contract. (An)/(CO1)

27. "Consent is not free when it is caused by coercion, undue influence, fraud, misrepresentation, or mistake." Discuss. (An)/(CO2)

(1x15=15)